

Figure 7.9 ■ Order book of buys and sells for ether on Poloniex
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Each order is one row in an order book, and so the more orders there are, the thicker the book. If there aren't many buys and sells, then the order book is thin. That said, some orders also need to be of sizeable amounts. If all the orders consist of bids to buy or sell \$1 of the asset, then it doesn't matter how many orders there are, it will still be a thin order book.

The thinness of the order book is also referred to as the liquidity of the market. If the market is highly liquid, then there are lots of orders and many of them are likely large. In this case, value can be traded easily. If the market is illiquid, or thin, then sizeable price swings with low volume will occur because someone trying to buy (or sell) a lot of the asset will fill all the available sell (or buy) orders, which drives the price up (or down). As a result, in thin or illiquid markets, when investors are bullish they can drive massive swings to the upside, just as when investors turn bearish, strong selling volume can quickly drive the price down.

When cryptoassets are first launched, they have relatively thin order books because the investor base is typically smaller, trading is more infrequent, and orders may be small. This can create volatility in the price of the new asset. However, as news of the asset's merit spreads, interest will increase along with trading volume. The order book will typically fatten and volatility will often decrease.